Coworking Space Financial Feasibility Model

Panjim, Goa — Investment Appraisal & Scenario Analysis

Financial Feasibility · 3-Statement Modelling · DCF & CAPM · Investment Appraisal
Prepared as part of an MBA Finance academic project — Goa Business School

Total CAPEX Evaluated (Owned)	**Rs. 8.90 Cr**
Total CAPEX Evaluated (Rent)	**Rs. 1.59 Cr**
Discount Rate (WACC, CAPM-derived)	**9.9%**
Recommendation	**RENT — lower risk, lower investment, better P&L**

1. Business Problem

A coworking operator is evaluating whether to launch a 100-seat location in Panjim, Goa, and how to fund it: purchase the property outright, or lease it. The model was built to answer three questions: whether either funding path is financially viable at current market pricing, what discount rate the decision should be judged against, and which path creates value under realistic market conditions.

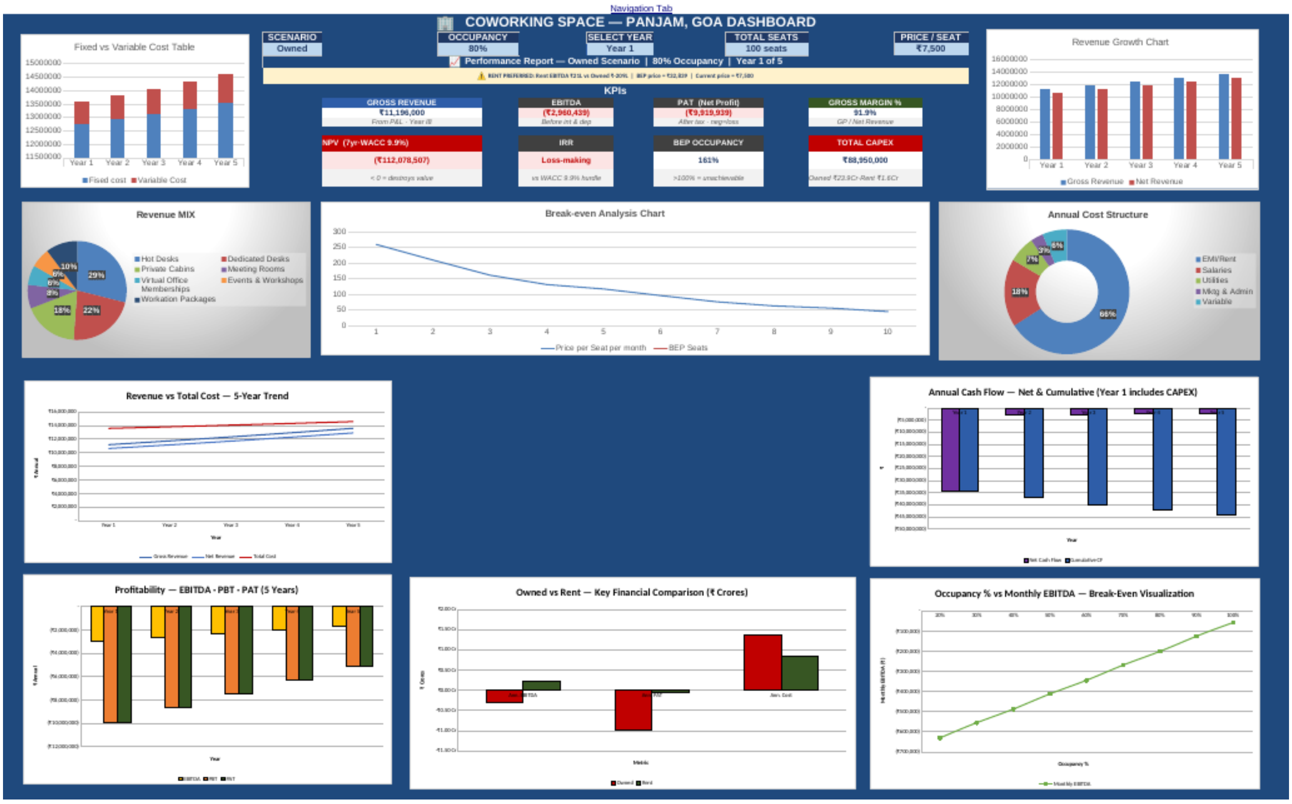
2. Methodology

- **3-statement model:** Revenue -> Cost Sheet -> P&L -> Cash Budget, fully driven by a single scenario toggle (Owned / Rent).
- **WACC via CAPM:** Cost of Equity = Risk-free Rate + Beta × Equity Risk Premium, weighted with post-tax Cost of Debt by target capital structure.
- **Investment appraisal:** 7-year discounted cash flow with terminal value, NPV, IRR, Profitability Index, ARR, and a year-by-year payback schedule.
- **Sensitivity analysis:** four 2-variable data tables — occupancy vs. price, occupancy vs. fixed-cost level, revenue inflation vs. cost escalation, and WACC vs. EBITDA multiple.
- **Scenario comparison:** Owned vs. Rent evaluated side by side on CAPEX, monthly operating cost, and Year-1 P&L, with an automated recommendation rule.

3. Data Sources & Assumptions

Market inputs are benchmarked against public listings and cited inline in the workbook: coworking pricing from Qdesq and GoFloaters; commercial rent and property values from MagicBricks and indicative local broker ranges; and a discount rate built from the 10-year Government of India G-Sec risk-free rate, a proxy beta from listed commercial real estate / workspace comparables, and an India equity risk premium in line with published country-risk-premium estimates. Every hardcoded assumption in the workbook is colour-coded and annotated with its source, so each number is traceable back to its basis.

4. Executive Dashboard



Live executive dashboard — KPIs, investment appraisal, and cost structure, all driven by the Input sheet's scenario toggle.

5. Key Findings

Metric	Owned (Property Purchase)	Rent
Total CAPEX	Rs. 8.90 Cr	Rs. 1.59 Cr
Year 1 EBITDA	(Rs. 29.6 L)	Rs. 21.0 L
NPV @ 9.9% WACC	(Rs. 11.21 Cr)	(Rs. 56.2 L)
IRR	Undefined — cash flow never turns positive	Not built to full multi-year IRR (see report Sec. 6)
Payback Period	Investment not recovered in 7 years	13.8 years

At current pricing (Rs. 7,500/seat/month, 80% occupancy), the Owned path destroys value — cumulative discounted cash flow never recovers the Rs. 8.9 Cr initial investment within the 7-year horizon. The Rent path is structurally different: CAPEX drops ~82%, Year-1 EBITDA turns positive, and payback is a defined 13.8 years rather than undefined.

6. Recommendation

RECOMMENDED: RENT — Lower risk, lower investment, better P&L

The Owned path only becomes competitive if achievable pricing rises well above the current break-even price of approximately Rs. 32,800/seat/month — roughly 4.4× today's market rate — making it unrealistic under present market conditions. This is a conditional, evidence-based recommendation rather than a blanket accept/reject: if the operator can secure materially higher pricing or a lower purchase cost per square foot, the Owned path should be re-run and re-evaluated.

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SCENARIO COMPARISON — OWNED vs. RENT

Owned: current model. Rent: recalculated using Assumptions column D values. All formulas linked.

Metric	OWNED Scenario	RENT Scenario	Variance (Rent−Owned)	% Difference
SCENARIO COMPARISON				
CAPEX				
Total CAPEX	**₹88,950,000**	**₹15,900,000**	(₹73,050,000)	(82.1%)
Property Purchase	₹75,000,000	-	(₹75,000,000)	(100.0%)
Fit-out & Furniture	₹11,250,000	₹11,250,000	-	-
IT+Electrical+Brand+Misc	₹2,700,000	₹2,700,000	-	-
Security Deposit	-	₹1,950,000	₹1,950,000	-
Equity Required (40%)	₹35,580,000	₹6,360,000	(₹29,220,000)	(82.1%)
Loan Required (60%)	₹53,370,000	₹9,540,000	(₹43,830,000)	(82.1%)
MONTHLY OPERATING COSTS				
Rent / EMI (monthly)	**₹747,053**	**₹325,000**	(₹422,053)	(56.5%)
Total Salaries	₹199,000	₹199,000	-	-
Utilities & Overheads	₹115,000	₹115,000	-	-
Variable Cost/month	₹72,000	₹72,000	-	-
TOTAL MONTHLY COST	**₹1,133,053**	**₹711,000**	(₹422,053)	(37.2%)
P&L — YEAR 1				
Gross Revenue (Yr 1)	₹11,196,000	₹11,196,000	-	-
Net Revenue (−5% vacancy)	₹10,636,200	₹10,636,200	-	-
Variable Costs (annual)	₹864,000	₹864,000	-	-
Gross Profit	₹9,772,200	₹9,772,200	-	-
Total Fixed OpEx (annual)	₹12,732,639	₹7,668,000	(₹5,064,639)	(39.8%)
EBITDA	**(₹2,960,439)**	**₹2,104,200**	₹5,064,639	171.1%
Total Depreciation	₹1,622,500	₹1,622,500	-	-
EBIT	(₹4,582,939)	₹481,700	₹5,064,639	110.5%
Interest Expense (annual)	₹5,337,000	₹954,000	(₹4,383,000)	(82.1%)
PBT	(₹9,919,939)	(₹472,300)	₹9,447,639	95.2%
Tax	-	-	-	-
PAT (Net Profit / Loss)	**(₹9,919,939)**	**(₹472,300)**	₹9,447,639	95.2%
Net Margin %	(93.3%)	(4.4%)	88.8%	95.2%

Owned vs. Rent — CAPEX, monthly operating cost, and Year-1 P&L compared side by side.

7. Limitations & Next Steps

- Beta and equity risk premium are proxy/illustrative figures — should be refreshed against current comparable-company data before using this model for an actual investment decision.
- A full multi-year IRR is built out for the Owned path only; the Rent path is evaluated on NPV and cash-flow-basis payback rather than a cell-by-cell IRR schedule.
- Next step: sensitize the model to a range of achievable price points and a monthly (rather than flat annual) occupancy ramp, to test the timing of break-even more precisely.

Full interactive Excel model, formulas, and additional sensitivity tables available in the accompanying workbook (Coworking_Financial_Model_Panaji_Goa.xlsx) in this repository.